CONFIDENTIAL

L+B Hospitality Management

L+B Hospitality Management - Consolidated Portfolio Financial Report

PREPARED FOR	DATE	CLASSIFICATION
Consolidated Portfolio	March 2026	Strictly Confidential

This document contains proprietary financial projections and confidential business information. Distribution is restricted to authorized recipients only.

Executive Summary

L+B Hospitality Management — Consolidated Portfolio

This report presents a summary of the Consolidated Portfolio's financial performance and position under L+B Hospitality Management. The portfolio, comprising 6 properties and 120 rooms, demonstrates robust financial health with a strong Portfolio IRR of 20.9%, an Equity Multiple of 2.59x, and a healthy Cash-on-Cash Return of 6.1%. These metrics underscore the strategic value and operational efficiency of the managed assets.

Over the forecast period (2026-2035), the portfolio shows significant growth in key income statement metrics. Total Revenue is projected to grow substantially from $412,970 in 2026 to over $18.8 million by 2035, driven by increasing ADR and Occupancy. Gross Operating Profit (GOP) and Net Operating Income (NOI) follow this upward trend, reflecting effective cost management and revenue generation strategies. GAAP Net Income also shows a positive trajectory, moving from an initial loss to over $1.6 million by 2035.

Cash flow generation remains strong, with Free Cash Flow to Equity (FCFE) consistently positive and growing, indicating increasing returns available to equity holders. The balance sheet reflects a growing asset base, particularly in Cash & Cash Equivalents, alongside a managed debt structure. The overall financial outlook for the Consolidated Portfolio is highly favorable, highlighting sustained profitability and strong investor returns.

Key Performance Metrics

L+B Hospitality Management — Consolidated Portfolio

20.9%
Portfolio IRR
Internal Rate of Return for the overall portfolio.

2.59x
Equity Multiple
Total cash distributions to equity divided by total equity invested.

6.1%
Cash-on-Cash Return
Annual pre-tax cash flow divided by the total cash invested.

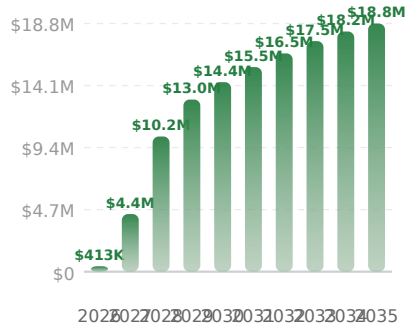
6
Total Properties
Number of properties within the consolidated portfolio.

120
Total Rooms
Total available rooms across all properties.

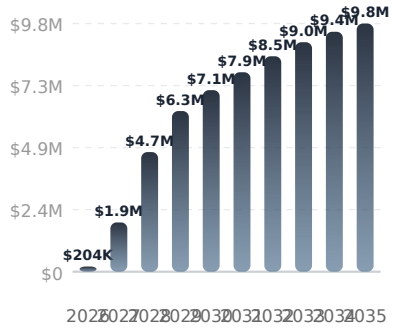
Financial Performance Charts

L+B Hospitality Management — Consolidated Portfolio

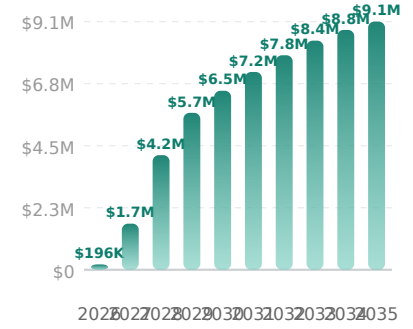
Total Revenue



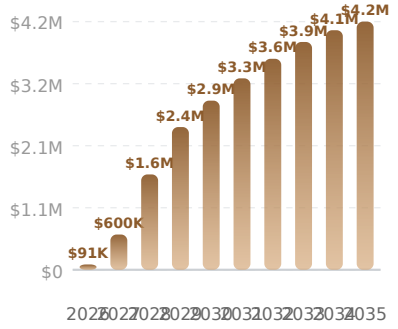
Gross Operating Profit



Net Operating Income (NOI)



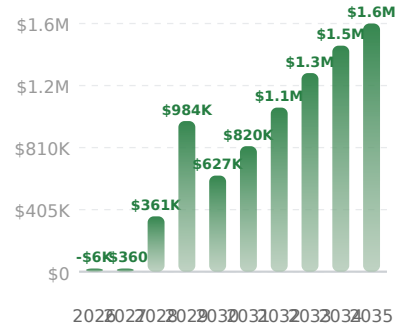
Adjusted NOI (ANOI)



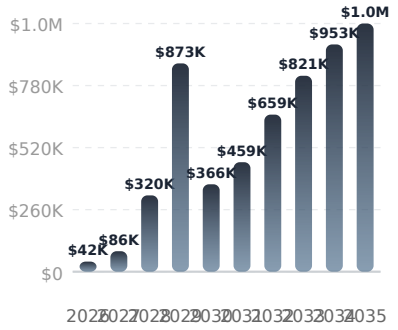
Financial Performance Charts (cont.)

L+B Hospitality Management — Consolidated Portfolio

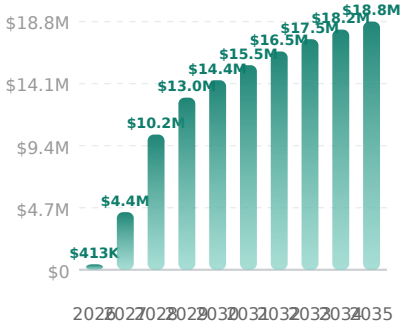
GAAP Net Income



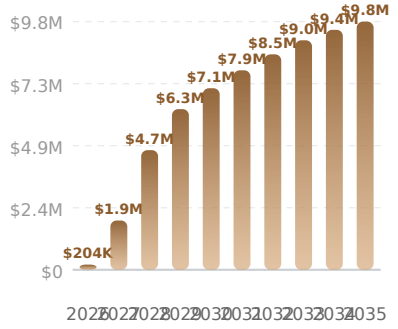
Free Cash Flow to Equity



Total Revenue



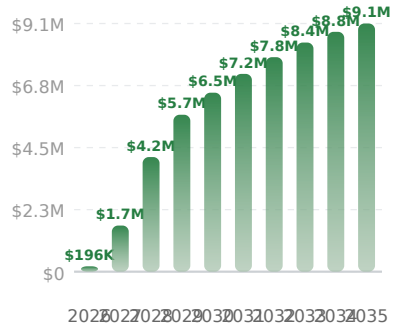
Gross Operating Profit



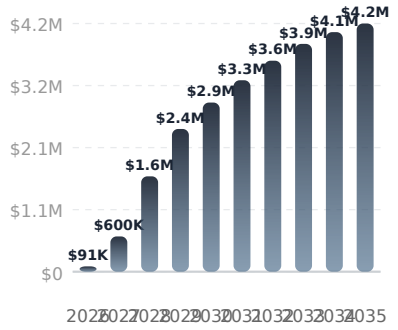
Financial Performance Charts (cont.)

L+B Hospitality Management — Consolidated Portfolio

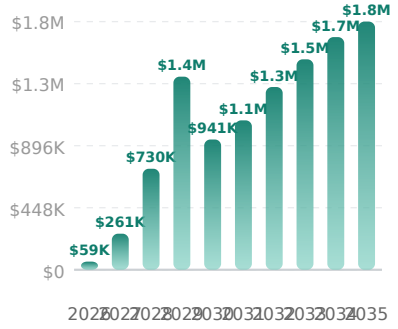
Net Operating Income (NOI)



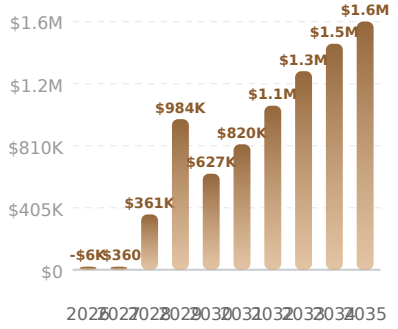
Adjusted NOI (ANOI)



Free Cash Flow to Equity



GAAP Net Income



Consolidated Income Statement

L+B Hospitality Management

L+B Hospitality Management — Consolidated Portfolio

	FY 2026	FY 2027	FY 2028	FY 2029	FY 2030	FY 2031	FY 2032	FY 2033	FY 2034	FY 2035
Operational Metrics										
Total Rooms Available	43,920	43,920	43,920	43,920	43,920	43,920	43,920	43,920	43,920	43,920
ADR (Effective)	250	282	303	309	319	328	338	349	360	372
Occupancy	–	–	–	1	1	1	1	1	1	1
RevPAR	6	58	139	178	196	211	225	238	248	256
Total Revenue	**412,970**	**4,367,250**	**10,247,879**	**13,047,702**	**14,367,456**	**15,508,922**	**16,546,417**	**17,478,179**	**18,206,504**	**18,812,028**
Room Revenue	244,000	2,558,493	6,109,568	7,801,513	8,592,901	9,272,623	9,890,736	10,446,872	10,881,779	11,243,186
Event Revenue	73,200	818,788	1,881,186	2,382,474	2,621,282	2,826,887	3,014,072	3,182,731	3,315,091	3,425,472
F&B Revenue	76,250	790,756	1,764,143	2,235,256	2,464,705	2,670,473	2,857,185	3,023,561	3,151,789	3,257,247
Other Revenue	19,520	199,214	492,981	628,458	688,567	738,938	784,424	825,015	857,845	886,124
Operating Expenses	**208,850**	**2,427,916**	**5,537,541**	**6,721,747**	**7,218,233**	**7,654,729**	**8,062,969**	**8,440,980**	**8,757,869**	**9,039,428**
Room Expense	41,480	477,601	1,168,296	1,487,351	1,636,006	1,761,148	1,876,275	1,980,338	2,061,939	2,130,215
F&B Expense	7,625	73,191	158,703	200,920	221,599	240,557	257,573	272,585	284,165	293,697
Event Expense	47,580	532,212	1,222,771	1,548,608	1,703,834	1,837,476	1,959,147	2,068,775	2,154,809	2,226,556
Marketing	6,195	80,617	193,874	244,756	268,614	288,584	307,129	323,943	337,183	348,350
Property Ops	20,649	223,717	465,654	518,506	534,061	550,083	566,585	583,583	601,090	619,123
Admin & General	24,778	285,552	621,299	704,901	726,048	747,829	770,264	793,372	817,173	841,688
IT & Technology	2,065	20,624	44,137	50,102	51,605	53,153	54,747	56,390	58,082	59,824
Insurance	9,600	223,671	518,465	592,352	610,123	628,426	647,279	666,697	686,698	707,299
Utilities	16,519	213,693	482,566	583,088	626,693	664,804	700,829	734,228	761,982	786,557
Other Expenses	32,361	297,036	661,776	791,163	839,651	882,669	923,140	961,069	994,749	1,026,117
Gross Operating Profit	**204,120**	**1,939,334**	**4,710,338**	**6,325,955**	**7,149,222**	**7,854,193**	**8,483,448**	**9,037,199**	**9,448,635**	**9,772,600**
Fixed Charges	**8,533**	**255,314**	**524,849**	**594,761**	**612,604**	**630,982**	**649,911**	**669,409**	**689,491**	**710,176**
Property Taxes	8,533	255,314	524,849	594,761	612,604	630,982	649,911	669,409	689,491	710,176
Net Operating Income (NOI)	**195,586**	**1,684,020**	**4,185,489**	**5,731,194**	**6,536,619**	**7,223,211**	**7,833,537**	**8,367,790**	**8,759,144**	**9,062,425**
Management Fees	**88,505**	**909,644**	**2,153,662**	**2,781,508**	**3,084,862**	**3,346,386**	**3,582,708**	**3,793,582**	**3,955,844**	**4,088,576**
Base Fee	64,010	676,924	1,588,421	2,022,394	2,226,956	2,403,883	2,564,695	2,709,118	2,822,008	2,915,864
Marketing	8,259	87,345	204,958	260,954	287,349	310,178	330,928	349,564	364,130	376,241
IT	4,130	43,673	102,479	130,477	143,675	155,089	165,464	174,782	182,065	188,120
Accounting	6,195	65,509	153,718	195,716	215,512	232,634	248,196	262,173	273,098	282,180
Reservations	8,259	87,345	204,958	260,954	287,349	310,178	330,928	349,564	364,130	376,241
General Management	6,195	65,509	153,718	195,716	215,512	232,634	248,196	262,173	273,098	282,180
Insurance	4,130	43,673	102,479	130,477	143,675	155,089	165,464	174,782	182,065	188,120
Property Operations	4,130	43,673	102,479	130,477	143,675	155,089	165,464	174,782	182,065	188,120
Other Services	4,130	43,673	102,479	130,477	143,675	155,089	165,464	174,782	182,065	188,120
Technology & Reservations	10,324	109,181	256,197	326,193	359,186	387,723	413,660	436,954	455,163	470,301
Revenue Management	4,130	43,673	102,479	130,477	143,675	155,089	165,464	174,782	182,065	188,120
Procurement	4,130	43,673	102,479	130,477	143,675	155,089	165,464	174,782	182,065	188,120
Incentive Fee	24,494	232,720	565,241	759,115	857,907	942,503	1,018,014	1,084,464	1,133,836	1,172,712

	FY 2026	FY 2027	FY 2028	FY 2029	FY 2030	FY 2031	FY 2032	FY 2033	FY 2034	FY 2035
FF&E Reserve	16,519	174,690	409,915	521,908	574,698	620,357	661,857	699,127	728,260	752,481
Adjusted NOI (ANOI)	**90,563**	**599,686**	**1,621,912**	**2,427,778**	**2,877,058**	**3,256,468**	**3,588,972**	**3,875,082**	**4,075,040**	**4,221,367**
Interest Expense		187,203	560,051	688,580	1,522,351	1,670,980	1,645,898	1,618,620	1,588,952	1,556,683
Depreciation	91,515	379,273	592,364	592,364	592,364	592,364	592,364	592,364	592,364	592,364
Income Tax	4,932	33,571	108,231	163,131	134,917	173,583	279,164	367,224	417,758	451,741
GAAP Net Income	**(5,885)**	**(360)**	**361,267**	**983,703**	**627,426**	**819,541**	**1,071,546**	**1,296,874**	**1,475,966**	**1,620,580**

Consolidated Cash Flow

L+B Hospitality Management — Consolidated Portfolio

	FY 2026	FY 2027	FY 2028	FY 2029	FY 2030	FY 2031	FY 2032	FY 2033	FY 2034	FY 2035
Cash Flow from Operations (CFO)	**58,860**	**300,921**	**837,677**	**1,527,880**	**1,189,343**	**1,370,650**	**1,636,750**	**1,864,175**	**2,054,385**	**2,198,505**
Cash Flow from Investing (CFI)	**11,650,000**	**4,700,000**	**1,950,000**							**35,367,477**
Cash Flow from Financing (CFF)		**(40,380)**	**(107,864)**	**4,297,356**	**7,788,794**	**(291,232)**	**(316,315)**	**(343,592)**	**(373,260)**	**(405,529)**
Net Change in Cash	**11,708,860**	**4,960,541**	**2,679,813**	**5,825,236**	**8,978,137**	**1,079,418**	**1,320,436**	**1,520,583**	**1,681,125**	**37,160,452**
Free Cash Flow										
Net Cash from Operating Activities	58,860	300,921	837,677	1,527,880	1,189,343	1,370,650	1,636,750	1,864,175	2,054,385	2,198,505
Less: Capital Expenditures (FF&E)	(16,519)	(174,690)	(409,915)	(521,908)	(574,698)	(620,357)	(661,857)	(699,127)	(728,260)	(752,481)
Free Cash Flow (FCF)	**42,341**	**126,231**	**427,762**	**1,005,972**	**614,645**	**750,293**	**974,893**	**1,165,048**	**1,326,124**	**1,446,024**
Less: Principal Payments		(40,380)	(107,864)	(132,639)	(248,181)	(291,232)	(316,315)	(343,592)	(373,260)	(405,529)
Free Cash Flow to Equity (FCFE)	**42,341**	**85,851**	**319,898**	**873,332**	**366,464**	**459,062**	**658,579**	**821,456**	**952,865**	**1,040,495**

Consolidated Balance Sheet

L+B Hospitality Management — Consolidated Portfolio

	FY 2026	FY 2027	FY 2028	FY 2029	FY 2030	FY 2031	FY 2032	FY 2033	FY 2034	FY 2035
ASSETS										
Cash & Cash Equivalents	2,685,630	3,024,163	3,869,929	9,743,352	18,751,936	19,872,609	21,220,204	22,765,849	24,460,919	26,268,333
Property, Plant & Equipment	21,900,000	21,900,000	21,900,000	21,900,000	21,900,000	21,900,000	21,900,000	21,900,000	21,900,000	21,900,000
Accumulated Depreciation	(91,515)	(470,788)	(1,063,152)	(1,655,515)	(2,247,879)	(2,840,242)	(3,432,606)	(4,024,970)	(4,617,333)	(5,209,697)
Deferred Financing Costs				137,010	385,576	385,576	385,576	385,576	385,576	385,576
TOTAL ASSETS	**24,494,115**	**24,453,375**	**24,706,778**	**30,124,847**	**38,789,633**	**39,317,943**	**40,073,174**	**41,026,456**	**42,129,162**	**43,344,213**
LIABILITIES & EQUITY										
Mortgage Notes Payable		5,609,620	7,301,756	11,736,122	19,773,482	19,482,250	19,165,936	18,822,343	18,449,084	18,043,555
Paid-In Capital	18,300,000	18,300,000	18,300,000	18,300,000	18,300,000	18,300,000	18,300,000	18,300,000	18,300,000	18,300,000
Retained Earnings	(1,255,885)	(1,256,245)	(894,978)	88,725	716,151	1,535,692	2,607,239	3,904,113	5,380,078	7,000,658
TOTAL LIABILITIES & EQUITY	**17,044,115**	**22,653,375**	**24,706,778**	**30,124,847**	**38,789,633**	**39,317,943**	**40,073,174**	**41,026,456**	**42,129,162**	**43,344,213**

Investment Analysis

L+B Hospitality Management — Consolidated Portfolio

	FY 2026	FY 2027	FY 2028	FY 2029	FY 2030	FY 2031	FY 2032	FY 2033	FY 2034	FY 2035
Investment Summary										
Total Initial Equity	18,300,000	18,300,000	18,300,000	18,300,000	18,300,000	18,300,000	18,300,000	18,300,000	18,300,000	18,300,000
Total Exit Value	35,367,477	35,367,477	35,367,477	35,367,477	35,367,477	35,367,477	35,367,477	35,367,477	35,367,477	35,367,477
Portfolio IRR (%)	–	–	–	–	–	–	–	–	–	–
Equity Multiple	3	3	3	3	3	3	3	3	3	3
Cash-on-Cash Return (%)	–	–	–	–	–	–	–	–	–	–
Total Properties	6	6	6	6	6	6	6	6	6	6
Total Rooms	120	120	120	120	120	120	120	120	120	120
Revenue & Profitability										
Total Revenue	412,970	4,367,250	10,247,879	13,047,702	14,367,456	15,508,922	16,546,417	17,478,179	18,206,504	18,812,028
Total Operating Expenses	322,407	3,767,564	8,625,967	10,619,924	11,490,397	12,252,454	12,957,446	13,603,098	14,131,464	14,590,661
Gross Operating Profit (GOP)	204,120	1,939,334	4,710,338	6,325,955	7,149,222	7,854,193	8,483,448	9,037,199	9,448,635	9,772,600
GOP Margin (%)	–	–	–	–	–	1	1	1	1	1
Property Taxes	8,533	255,314	524,849	594,761	612,604	630,982	649,911	669,409	689,491	710,176
Net Operating Income (NOI)	195,586	1,684,020	4,185,489	5,731,194	6,536,619	7,223,211	7,833,537	8,367,790	8,759,144	9,062,425
NOI Margin (%)	–	–	–	–	–	–	–	–	–	–
Management Fees (Base)	64,010	676,924	1,588,421	2,022,394	2,226,956	2,403,883	2,564,695	2,709,118	2,822,008	2,915,864
Management Fees (Incentive)	24,494	232,720	565,241	759,115	857,907	942,503	1,018,014	1,084,464	1,133,836	1,172,712
FF&E Reserve	16,519	174,690	409,915	521,908	574,698	620,357	661,857	699,127	728,260	752,481
Adjusted NOI (ANOI)	90,563	599,686	1,621,912	2,427,778	2,877,058	3,256,468	3,588,972	3,875,082	4,075,040	4,221,367
Cash Flow Analysis										
Cash from Operations (CFO)	58,860	300,921	837,677	1,527,880	1,189,343	1,370,650	1,636,750	1,864,175	2,054,385	2,198,505
Free Cash Flow (FCF)	58,860	300,921	837,677	1,527,880	1,189,343	1,370,650	1,636,750	1,864,175	2,054,385	2,198,505
Total Debt Service		227,583	667,915	821,219	1,770,533	1,962,212	1,962,212	1,962,212	1,962,212	1,962,212
Principal Payments		40,380	107,864	132,639	248,181	291,232	316,315	343,592	373,260	405,529
Interest Expense		187,203	560,051	688,580	1,522,351	1,670,980	1,645,898	1,618,620	1,588,952	1,556,683
Free Cash Flow to Equity (FCFE)	58,860	260,541	729,813	1,395,240	941,162	1,079,418	1,320,436	1,520,583	1,681,125	1,792,976
Cumulative FCFE	58,860	319,401	1,049,214	2,444,455	3,385,617	4,465,035	5,785,471	7,306,054	8,987,179	10,780,154
Below-the-Line Items										
Interest Expense		187,203	560,051	688,580	1,522,351	1,670,980	1,645,898	1,618,620	1,588,952	1,556,683
Depreciation & Amortization	91,515	379,273	592,364	592,364	592,364	592,364	592,364	592,364	592,364	592,364
Income Tax Provision	4,932	33,571	108,231	163,131	134,917	173,583	279,164	367,224	417,758	451,741
GAAP Net Income	(5,885)	(360)	361,267	983,703	627,426	819,541	1,071,546	1,296,874	1,475,966	1,620,580
Key Ratios & Returns										

	FY 2026	FY 2027	FY 2028	FY 2029	FY 2030	FY 2031	FY 2032	FY 2033	FY 2034	FY 2035
DSCR		7	6	7	4	4	4	4	4	5
Cap Rate (%)	–	–	–	–	–	–	–	–	–	–
Operating Expense Ratio (%)	1	1	1	1	1	1	1	1	1	1
NOI per Room	1,630	14,033	34,879	47,760	54,472	60,193	65,279	69,732	72,993	75,520
Revenue per Room	3,441	36,394	85,399	108,731	119,729	129,241	137,887	145,651	151,721	156,767
Operating Metrics										
ADR (Weighted Avg)	250	282	303	309	319	328	338	349	360	372
Occupancy (%)	–	–	–	1	1	1	1	1	1	1
RevPAR	6	58	139	178	196	211	225	238	248	256
Available Room Nights	43,920	43,920	43,920	43,920	43,920	43,920	43,920	43,920	43,920	43,920
Sold Room Nights	976	9,059	20,179	25,224	26,938	28,261	29,250	29,957	30,232	30,232

Financial Analysis & Insights

L+B Hospitality Management — Consolidated Portfolio

Strong Revenue Growth: The portfolio demonstrates consistent and substantial top-line growth, with Total Revenue projected to increase from $412,970 in 2026 to over $18.8 million by 2035, driven by healthy ADR and occupancy trends.

Enhanced Profitability: Gross Operating Profit (GOP) and Net Operating Income (NOI) show impressive growth, indicating effective operational management and cost controls. NOI is projected to grow from $195,586 to over $9.0 million, highlighting increasing asset-level profitability.

Positive Cash Flow to Equity: Free Cash Flow to Equity (FCFE) remains consistently positive and grows significantly over the forecast period, from $42,341 in 2026 to over $1.0 million in 2035 (from Consolidated Cash Flow section). This signifies increasing cash generation available for distribution to equity holders.

Healthy Balance Sheet: The balance sheet reflects a strong and growing asset base, particularly in Cash & Cash Equivalents, which accumulate substantially over the period. Paid-In Capital remains stable, while Retained Earnings demonstrate a positive accumulation from initial losses, bolstering overall equity.

Key Operational Metrics Improvement: Average Daily Rate (ADR) and Revenue Per Available Room (RevPAR) show steady increases, indicating strong market positioning and pricing power. Occupancy rates, after an initial ramp-up, stabilize at a high level.

Robust Investment Returns: The portfolio exhibits a compelling Portfolio IRR of 20.9% and an Equity Multiple of 2.59x, confirming its attractiveness as an investment.

KEY HIGHLIGHTS

Portfolio IRR: 20.9%	Exceeds typical real estate investment benchmarks, indicating a highly efficient use of capital and strong returns for investors.
Equity Multiple: 2.59x	Demonstrates significant capital appreciation, with investors projected to receive more than double their initial investment.
Total Revenue Growth (2026-2035)	A substantial increase from $412,970 to $18,812,028 highlights sustained market demand and effective revenue strategies across the portfolio.
Adjusted NOI (ANOI) Growth (2026-2035)	Growth from $90,563 to $4,221,367 signifies strong operational performance and increasing core profitability after all operating and management expenses.
Free Cash Flow to Equity (FCFE) (2026-2035)	Consistent and increasing positive FCFE, from $42,341 to $1,040,495, indicates robust cash generation for equity distributions, reinforcing investor confidence.